GMS WEEKLY

Your Source for Recycling News

April 7th, 2023
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Week 14

Highlights:

- **Muted activity.**
- **LC delays.**
- **Precarious.**
- **Demand ripe.**
- **Pick up.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"I've noticed when I fear something, if I just end up doing it, I'm grateful in the end."

– Colleen Hoover

MARKET COMMENTARY

HOLIDAY SEASON!

With holidays underway across much of the world, it has been a far quieter week in terms of sales & activity, whilst sentiments and pricing remain further muted as a result.

Several vessels have arrived in Bangladesh for delivery this week despite it taking much longer these days to get the L/Cs in order. As such, to have smooth boardings & beachings, it is therefore recommended to maintain at least five days prior arrival, in order to allow for local Buyers L/Cs to open, release, and be credited to Owners / Cash Buyers before vessels can beach.

Particularly in Bangladesh, the situation remains somewhat precarious in obtaining Central Bank Approval on the particularly higher value assets, so drastic remains the ongoing liquidity problem in the country.

In Pakistan, it has been nearly impossible to open any L/Cs and neither Owners nor Cash Buyers are considering Gadani as a viable destination, especially in the new future.

Finally, Turkey continues its dreary drudge through the year, week after week, with not much change to report other than local steel plate prices that have been fluctuating within a margin and a determined Lira that is steadily deteriorating against the U.S. Dollar.

Overall, pursuant to the conclusion of Chinese New Year holidays, there was an improvement in both Dry Bulk and Containers for trading / charter, and this has led to a dearth in vessels being proposed for recycling and arriving at most waterfronts, as port reports remained virtually empty across the sub-continent & Turkey through most of March.

Notwithstanding, recycling prices remain relatively steady / strong, as do local sentiments, which are expected to pick up further after the holidays this month, as demand increases and fundamentals stabilizes in the form of steel prices and most local currencies.

For week 14 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	610 / LDT*	630 / LDT*	650 / LDT*
2	India	Positive	570 / LDT	580 / LDT	600 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

All at GMS would like to wish readers a Happy Easter!

BANGLADESH

FACING DELAYS!

Added time.

Several vessels have faced delays upon arrival in Chattogram, due to the added time it is now taking to get Central Bank Approval to get L/Cs open, particularly on the larger LDT units.

As a result, tides are now being missed, with Cash Buyers and Owners left frustrated at these ongoing delays. It is therefore recommended for Owners / Cash Buyers of arriving tonnage to be prepared to wait additional times when delivering vessels into Bangladesh.

Still positive.

Fundamentals remain weak, yet steady, as the Bangladeshi Taka firms towards BDT 106 against the U.S. Dollar, while local steel plate prices flatline on the back of virtually no new arrivals / deliveries through March.

This week however, a series of arrivals does indicate there may be some movement in the markets and more units may be introduced going forward, given how painfully absent any tonnage has been of late.

NO MARKET SALES REPORTED

INDIA

READY AND WAITING!

Improvements.

Amidst a 'less-than-often' phase of stability for local fundamentals overall, both local steel plate prices and the Indian Rupee sailed through the week on an even-to-positive scale.

Not only did local steel plate prices diminish by less than USD 1/Ton this week, but the Rupee also continued to gradually firm past Rs. 82, down to Rs. 81.8X against the U.S. Dollar as the week ended.

Holiday lull.

Meanwhile, India also remains the leading market for (especially) HKC green vessels, despite the addition of more class NK yards in Bangladesh, yet the container sector has seen an uptick in chartering levels leading to many vessels being withdrawn from recycling sales.

As fundamentals remain firm, we should get some greater clarity on market conditions, pricing, and demand overall, after the various bank holidays are over from next week onwards.

NO MARKET SALES REPORTED

PAKISTAN

CHRONIC ISSUES!

Uncompetitive.

Chronic financing abilities persist for yet another week in Pakistan, and there is little getting over the fact that levels remain far from competitive, and banks remain far from willing to open L/Cs on any available vessels.

Even the unit arrived a few weeks ago is languishing at the waterfront, with rumors that the vessel is still awaiting opening of an L/C.

Little point.

As such, the Gadani market remains non-event, particularly with the month of Ramadan ongoing and demand down as a result.

Like Bangladesh, local steel plate prices flatlined through much of the week, while the Pakistani Rupee ended the week at a massive PKR 286 against the U.S. Dollar.

Until Pakistan can sort out its liquidity issues and find ways to pay Owners / Cash Buyers alike on arriving vessels, and until levels improve in line with both India and Bangladesh, there remains little point discussing vessels into Pakistan for the time being.

NO MARKET SALES REPORTED

TURKEY

NO CHANGE!

Turkey, like India, remains steadily fluctuating in its fundamentals, although in the opposite direction.

Fundamentals weaken.

The Turkish Lira has been gradually weakening against the U.S. Dollar as it sails past TRY 19.25 as the week ended. Even local steel plate prices dropped by about USD 10/Ton while import steel fell by about USD 5/Ton, which seem more along the lines of weekly fluctuations than anything more serious.

With the world of ship recycling starved of tonnage, Aliaga was no different as Turkish Recyclers continue to starve for tonnage, the much-awaited Spring rejuvenation has yet to arrive, much to local Buyers dismay.

Spring rejuvenation

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Venus is the hottest planet in the solar system and has an average surface temperature of around 450° C. Did you know that Venus isn't the closest planet to the sun? That is Mercury. You would think that Mercury would then be the hottest, but Mercury has no atmosphere (which regulates temperature), resulting in big fluctuations.*
- *While the entire suit costs a cool $12m, 70% of that cost is for the backpack and control module. However, the space suits that NASA uses were built in 1974. If these were priced by today's pricing, they would cost an estimated 150 million dollars!*
- *The Sun accounts for 99.86% of the mass in our solar system with a mass of around 330,000 times that of Earth. Did you know that the Sun is made up of mostly hydrogen (three quarters worth) with the rest of its mass attributed to helium. If the Sun had a voice, would it be high and squeaky from all that helium?*
- *The Sun is large enough that approximately 1.3 million Earths could fit inside (if squashed in) or if the Earths retained their spherical shape, then 960,000 would fit. But can you visualize that number of Earths?*
- *There are about three trillion trees on Planet Earth, and between 100-400 billion stars, approximately, in the galaxy.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
April 04 – Mahavir Jayanthi April 07 – Good Friday April 22 – Eid-ul-Fitr	April 06 – April 12 April 18 – April 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 14 – Bengali New Year April 19 – Shab-E-Qadr April 21 – April 23 – Eid-ul-Azha	April 06 – April 09 April 19 – April 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
April 05 – Ching Ming Festival	April 22 – April 24 - Eid-ul-Fitr	April 20 – April 24 – Ramazan Bayrami

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ALANG - Port Position as of April 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Halul 20*	*1,395*	*Supply Vessel*	*Beached April 07*
2	*Halul 21*	*1,406*	*Supply Vessel*	*Beached April 07*
3	Ice	9,646	Drill Ship	Arrived March 31
4	Leonard	7,852	Container	Arrived April 07
Total Tonnage		**20,299**		

CHATTOGRAM - Port Position as of April 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Adriatic Energy	32,303	LPG	Arrived March 27
2	*Hutch*	*8,303*	*Container*	*Beached April 06*
3	Ida	9,828	Tanker	Arrived April 07
4	Lily Breeze	9,898	Bulk Carrier	Arrived April 07
5	Salamis	9,238	Tanker	Arrived April 04
6	*Sento*	*2,726*	*Container*	*Beached April 07*
7	Shravan	7,399	Container	Arrived March 22
8	Sun Bulk	7,553	Bulk Carrier	Arrived April 07
9	Sunny Voyager	22,706	Bulk Carrier	Arrived April 06
10	Vir	10,540	Bulk Carrier	Arrived April 02
11	Yu Hai	5,017	Bulk Carrier	Arrived April 02
12	Yuang Da Fa 102	1,736	Reefer	Arrived April 04
13	*Z Star*	*6,537*	*General Cargo*	*Beached April 07*
Total Tonnage		**133,784**		

GADANI - Port Position as of April 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Madina 1	1,657	Tanker	Arrived March 03
Total Tonnage		**1,657**		

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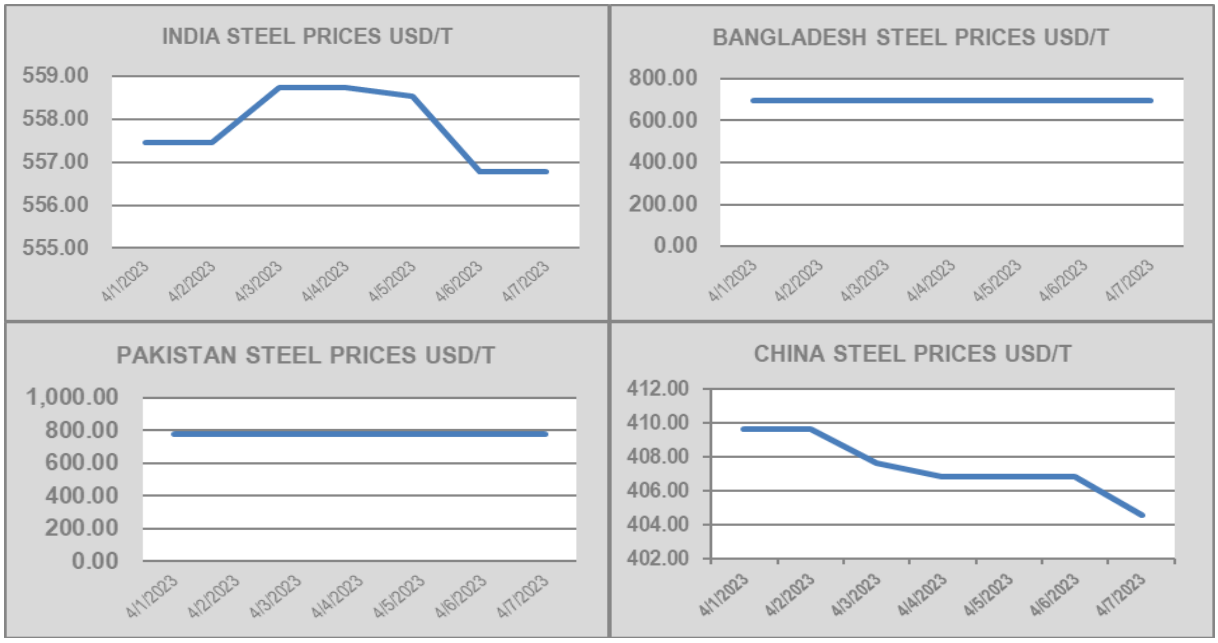
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/1/2023	557.45	45,800.00	777.39	220,000.00	697.12	72,500.00	409.65
4/2/2023	557.45	45,800.00	777.39	220,000.00	697.12	72,500.00	409.65
4/3/2023	558.73	46,000.00	777.39	220,000.00	697.12	72,500.00	407.67
4/4/2023	558.73	46,000.00	777.39	220,000.00	697.12	72,500.00	406.85
4/5/2023	558.54	45,800.00	777.39	220,000.00	697.12	72,500.00	406.85
4/6/2023	556.78	45,600.00	777.39	220,000.00	697.12	72,500.00	406.85
4/7/2023	556.78	45,600.00	777.39	220,000.00	697.12	72,500.00	404.57



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